



CHIEF INVESTMENT OFFICE

House View

Macro and Asset-Class Outlook

28 June 2026 · Version 1.3

Benchmark: Strategic Asset Allocation v1.2 (Growth, target CPI plus 5%)

Base currency: EUR. Sources: UBS, Syz, Pictet, J.P. Morgan and Luccai, plus family-office peer data.

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Summary

This is NexSky's first CIO house view. When we sat down to decide the editorial line, we agreed on one thing: to give you our own untainted opinion on where we see markets going, and to provoke conversation and disagreement. Transparently, independently, objectively.

The approach is simple. We draw on the leading bank and asset-manager outlooks, review and debate them, and then give you our unfiltered view. The conclusions are ours. We want to help you navigate the diverging opinions out there, and show you exactly why we do or do not align with consensus. We do not want to be perma-bears or forever-bulls. We want to tell you what we genuinely believe the market is doing. We will be wrong often, as everyone is, but our aim is to put a real conviction in front of you: to inspire you, to challenge your view, and to work out together where to invest.

This is probably the worst, or the best, time to start. The next twelve months are unusually multi-modal, with the world pulled by powerfully opposing forces: inflationary energy, disinflationary AI, and fiscal stress. So this time we frame four regimes of comparable likelihood and position for robustness rather than a single base case. The most likely single path, at 35 percent, is a muddle-through of contained inflation and resilient growth, but the two adverse regimes, an AI air-pocket and an oil shock, together carry 45 percent and pull in opposite directions. We stay constructive on equities while broadening away from concentrated US mega-cap. We run short duration, we hold gold as a strategic hedge, and we lean long the dollar through the overlay.

1 · Macro and Geopolitical Outlook

The map below sets out four regimes, mutually exclusive and summing to 100, with no single dominant base case. Muddle-through is the most likely single path, but it is a plurality, not a majority.

The backdrop is hawkish-for-longer policy and a fragile truce. The Fed under Warsh is on hold through 2026 with the easing bias removed, the ECB is finishing its summer hikes, the BoJ is hiking gradually at 1.0 percent and rising, and the SNB sits at 0 percent. The Middle East de-escalation, built on the US and Iran MoU, is holding but fragile, and the UK transition from Starmer to Burnham is a live fiscal tail.

Scenario	Prob.	Trend	What it looks like
Muddle-through	35%	↓	Contained inflation, helped by politically managed lower oil into the US midterms. Growth holds near 2%, AI capex continues, the Fed stays on hold. The likeliest single path, not a dominant one.
AI air-pocket	25%	↑	AI monetisation disappoints, capex retrenches, mega-cap and semis de-rate and lead an equity drawdown, while inflation stays benign. A growth scare with low inflation, so long duration rallies as equities fall. Most like how prior tech cycles unwound.
Oil and Hormuz stagflation shock	20%	↓	The truce breaks, the Strait is disrupted, Brent spikes, inflation re-accelerates and central banks tighten into a slowdown. Held below the air-pocket because oil is being suppressed into the November midterms (OPEC, Iranian barrels via the MoU, drilling). That support is election-timed and may fade in 2027.
Genuine soft landing	20%	→	Real disinflation and AI delivering together. Oil down, core eases, earnings broaden, risk assets rally across small caps, cyclical and EM. Needs both legs, so the least likely.

The Trend column is our read on the direction of travel of each probability right now. The risk is migrating toward the AI air-pocket, away from the muddle-through and the oil shock, while the soft landing holds steady.

Above all four sits the fiscal and bond-market accident, covered in section 5. It is not a regime of its own. It is the tail that makes any of these worse, and it is the main reason we hold gold and some quality duration rather than optimising the book to one path. The two adverse regimes, the air-pocket and the oil shock, together carry 45 percent, and they break in opposite directions, one deflationary and equity-led, one inflationary and rate-led. That is the case for hedging both ends.

2 · Key Trends Over the Next 12 Months

1. **Hawkish for longer under Warsh.** Cuts are off the table and front-end yields are anchored high. Cash and short-duration carry are rewarded, while long duration stays vulnerable.
2. **An AI capex supercycle.** Around 2.5% of GDP in build-out, with capital allocation shifting from buybacks to capex and record equity and bond supply ahead. Net equity issuance runs near 200 billion dollars in 2026, rising toward 1.2 trillion in 2027. Selectivity matters, and the supply weighs on duration.
3. **Energy and geopolitics as the swing factor.** Hormuz is binary, and oil is the dominant driver of both inflation and risk appetite.
4. **The dollar reasserting.** The DXY broke out above 100.6 as rate differentials swung back to the US after a year of euro strength, so the FX overlay matters again.
5. **Equity broadening and high dispersion.** Mega-cap leadership is wobbling while Japan, the Russell 2000, EM and Europe make new highs. We diversify beyond US mega-cap.

3 · Structural and Long-Term Trends

1. **AI, power and compute.** A multi-year capex and electricity-demand supercycle. We favour the value chain across semiconductors, power and infrastructure, not only mega-cap.
2. **Fiscal dominance and high public debt.** Structurally higher term premia, periodic bond-market stress with the UK as the canary, and a tailwind for gold.
3. **Multipolarity and de-globalisation.** Reshoring, defence, commodities and a persistent geopolitical risk premium.
4. **Central-bank gold accumulation and dollar-reserve diversification.** Family offices feel over-exposed to the dollar, at 47% per UBS, which gives a structural bid for gold and non-dollar diversifiers.
5. **The institutionalisation of family-office capital.** Allocations are converging with institutions, especially in private markets at roughly 30% and above.

4 · Tactical View, One to Three Months

Stance: constructive but selective. Risk-on equities, short duration, hold the hedges.

Momentum favours equities over bonds, earnings are strong and volatility is low, with the VIX near 17. Near-term, the hawkish-Fed repricing, a firmer dollar and sticky inflation are headwinds for long duration, for EM local debt and FX, and for gold in the very short run.

What we would do now. Stay long equities but broaden into Japan, EM equity, Europe, quality cyclicals, financials, industrials and the AI value chain, and trim US mega-cap concentration. Run short and belly duration for carry. Hold the strategic 5% gold through any dip. Lean

neutral to long the dollar through the overlay. And keep a small energy-equity tail hedge on Hormuz optionality.

Watch list: Hormuz tanker transits and Brent; the Fed September pricing and core PCE; USD/JPY, where near 160 carries squeeze risk; and UK leadership and long gilts.

A caveat on duration. Our underweight is a muddle-through and stagflation call. In the AI air-pocket, a growth scare with benign inflation, long duration rallies, so that regime is hedged by the belly, by quality bonds and by the 5 percent gold, not by the short-duration tilt. The book is built to be robust across the map, not optimised to one path.

5 · Key Risks to the Thesis

These are the structural risks that could break the multi-year thesis, kept separate from the twelve-month regime map in section 1. We size our hedges, gold at 5%, cash at 6%, short duration and energy-equity optionality, with these tails in mind.

- 1. The AI capex supercycle disappoints on ROI.** Hyperscaler spend, around 2.5% of GDP, is running ahead of monetisation. If AI revenue fails to justify the build-out, capex retrenches and takes semiconductors, power demand, equity leadership and a large part of the earnings base with it. This is our single biggest structural risk, because both the growth cushion and the equity view lean on it, and it is the trigger for the AI air-pocket regime in section 1.
- 2. Iran and Hormuz re-escalation.** The de-escalation is fragile. A breakdown reopens the oil and inflation tail, forces central banks to tighten harder, and stalls growth. It is the trigger for the oil and Hormuz stagflation regime.
- 3. A fiscal and bond-market accident.** With fiscal dominance and high public debt, a buyers' strike in US Treasuries or UK gilts pushes term premia sharply higher and resets the discount rate under every asset. It is the cross-cutting tail that sits above every regime, not a regime of its own.
- 4. Fed credibility under Warsh.** A policy error, or a perceived loss of independence, unanchors inflation expectations and undermines the dollar. The shorter, guidance-free communication style raises the cost of a misstep.
- 5. A dollar and reserve shock.** A disorderly dollar move, or a faster diversification of reserves away from the dollar, that breaks the cross-asset correlations the portfolio relies on.
- 6. Other geopolitical flashpoints.** Taiwan is the one that compounds our risk rather than diversifying it, because a China or Taiwan shock hits the AI and semiconductor supply chain directly, on top of risk 1. Ukraine and Russia run through European energy and a higher, more persistent geopolitical risk premium.

6 · Asset-Class Summary

Our stance and conviction by asset class, against SAA v1.2. Conviction is 1 to 5 stars; the full scorecard, with 3, 6 and 12-month direction and our view versus the Street, is in the Appendix.

A note on ratings. Unlike most sell-side research, we rate the full scale, including Reduce, our explicit sell, and every Reduce carries a trigger we score over time. Current Reduce calls: high yield, long-duration US Treasuries, UK gilts, EM local debt and FX, and crypto beyond the strategic 2%.

Asset class	Stance vs SAA	Conviction
EQUITIES		
US equities	Neutral	★★★
European equities	Overweight	★★★
Japanese equities	Overweight	★★★★
EM & Asia ex-Japan	Overweight	★★★
Private equity	Overweight	★★★★
FIXED INCOME & CREDIT		
Govt bonds — EUR	UW duration	★★★
Govt bonds — US Treasuries	Reduce long	★★★
Govt bonds — UK Gilts	Reduce	★★★
Credit — Investment Grade	Neutral	★★
Credit — High Yield	Reduce	★★★
EM debt (hard & local)	Reduce local	★★★
Private debt	Overweight	★★★★
ALTERNATIVES & REAL ASSETS		
Hedge funds	Neutral / OW	★★★
Real estate & infrastructure	Neutral / OW	★★★
Crypto (BTC & ETH)	Reduce	★★
COMMODITIES & FX		
Gold	Overweight (5%)	★★★★
Commodities — energy	Neutral	★★
Commodities — metals	Neutral / OW	★★★
FX — EUR/USD (overlay)	Long USD	★★★
FX — CHF & havens	Neutral	★★

Where we diverge from consensus

- Bonds. We are underweight duration, alongside Syz and Pictet, against UBS's call to lock in yields and fade the hikes. The hawkish repricing has gone our way.
- The dollar. We lean long, alongside Syz, Pictet and the DXY breakout, against UBS's bearish-dollar view and its EURUSD 1.20 target.
- US equity. Neutral weight, not Attractive. We would broaden rather than add to a concentrated, richly valued mega-cap.
- Gold. Overweight, and we hold the dip. We accept the near-term real-yield headwind for the structural hedge.

Where we agree, with high conviction

Constructive equities with broadening, a preference for Japan, EM equity and Europe, hawkish rates and short duration, a firmer dollar, and the long-term themes of AI and power, fiscal dominance and gold.

Appendix: Full Asset-Class Scorecard

As of 28 June 2026, against SAA v1.2 (Growth). Conviction shown from 1 to 5 stars.

Asset class	3 m	6 m	12 m	Stance	Conv.	Drivers and our view vs Street
EQUITIES						
US equities	→	↑	↑	Neutral	★★★	Strong EPS and AI capex, offset by concentration and rich valuation. Below UBS (Attractive). Broaden, do not add to mega-cap.
European equities	↑	↑	→	Overweight	★★★	ECB hawkishness supports banks and the euro, and the valuation gap is wide. More constructive than UBS (Neutral).
Japanese equities	↑	↑	→	Overweight	★★★★	BoJ normalisation, record earnings, better governance, Topix and Nikkei at highs. Aligned with UBS and Syz. Watch the yen squeeze.
EM & Asia ex-Japan	↑	↑	↑	Overweight	★★★	China policy stability and earnings, though a strong dollar is a headwind. Take EM in equity form, underweight EM local and FX (the Pictet barbell).
Private equity	↑	↑	↑	Overweight	★★★★	The core growth engine, deployed through commitment pacing. A structural overweight; part of the SAA's ~30% privates.
FIXED INCOME & CREDIT						
Govt bonds — EUR	↓	→	↑	UW duration	★★★	ECB hawkish, heavy supply, sticky inflation. With Syz and Pictet at underweight. Prefer the short end.
Govt bonds — US Treasuries	↓	→	↑	Reduce long	★★★	Hawkish Fed and a flattening curve. The 5-year offers the best risk-reward. Belly for carry, reduce the long end. Against UBS Attractive.
Govt bonds — UK Gilts	↓	→	→	Reduce	★★★	Fiscal tail under Burnham, long gilts above 5%, a wider gilt-Bund spread. Avoid; the risk premium is rising.
Credit — Investment Grade	→	→	→	Neutral	★★	Decent carry but spreads tight, around 80bps. Carry only.
Credit — High Yield	→	↓	→	Reduce	★★★	Very tight spreads, around 300bps, late in the cycle. Not paid for the risk.
EM debt (hard & local)	→	↓	→	Reduce local	★★★	A strong dollar pressures local and FX, while hard-currency carry is acceptable. The Pictet barbell.
Private debt	↑	↑	↑	Overweight	★★★★	Senior secured private credit for contractual income with downside protection through security and covenants; part of the ~30% privates allocation.
ALTERNATIVES & REAL ASSETS						
Hedge funds	↑	→	→	Neutral / OW	★★★	High dispersion and range-bound rates reward macro, multi-strategy and low-net long-short.
Real estate & infrastructure	→	↑	↑	Neutral / OW	★★★	Logistics, data centres, residential, real-estate debt and energy-transition infrastructure. Selective.

Asset class	3 m	6 m	12 m	Stance	Conv.	Drivers and our view vs Street
Crypto (BTC & ETH)	↓	→	→	Reduce	★★	Bitcoin is in a bear market, down 28% year to date, with weak momentum. Reduce beyond the strategic 2%.
COMMODITIES & FX						
Gold	→	↑	↑	Overweight (5%)	★★★★	Central-bank demand and a fiscal and geopolitical hedge, against a near-term dollar and real-yield headwind. Hold through dips.
Commodities — energy	→	→	↑	Neutral	★★	Hormuz reopened, so oil is soft, but the geopolitical optionality remains. Energy equity as a small tail hedge.
Commodities — metals	→	↑	↑	Neutral / OW	★★★	Copper is structural on AI, power and electrification. We like copper, with UBS.
FX — EUR/USD (overlay)	↓	→	→	Long USD	★★★	A rate-differential reversal and the DXY breakout above 100.6. Against UBS's EUR/USD 1.20 bullish-euro call.
FX — CHF & havens	→	→	→	Neutral	★★	The SNB at 0% caps appreciation, with a haven bid on Hormuz risk. A three-way split, kept small and flagged.

What would change our mind

- Bear triggers: Brent above 100 on a Hormuz re-escalation, core PCE re-accelerating with the Fed actually hiking, a disorderly USD/JPY squeeze, or a UK gilt accident.
- Bull trigger: clean disinflation with lower oil. We would add cyclical, small caps and EM, and extend duration.

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